

FinPilot - AI Tax Assistant: Formulas & Tax Rules

1. Income Tax Formulas (FY 2025-26)

Taxable Income Calculation:

New Regime: Taxable Income = Gross Income - Standard Deduction (75,000)

Old Regime: Taxable Income = Gross Income - Standard Deduction (50,000) - Section Deductions (80C, 80D, 24B)

New Regime Slabs:

0 - 4,00,000 : 0%

4,00,001 - 8,00,000 : 5%

8,00,001 - 12,00,000 : 10%

12,00,001 - 16,00,000 : 15%

16,00,001 - 20,00,000 : 20%

20,00,001 - 24,00,000 : 25%

Above 24,00,000 : 30%

Old Regime Slabs:

0 - 2,50,000 : 0%

2,50,001 - 5,00,000 : 5%

5,00,001 - 10,00,000 : 20%

Above 10,00,000 : 30%

Rebate under Section 87A:

New Regime: Full rebate if taxable income $\leq$ 12,00,000

Old Regime: Full rebate if taxable income $\leq$ 5,00,000

Health and Education Cess:

Cess = 4% of (Tax After Rebate)

Total Tax = Tax After Rebate + Cess

Old Regime Deduction Caps:

Section 80C: up to 1,50,000

Section 80D: up to 25,000

Section 24B (Home Loan Interest): up to 2,00,000

2. Goods and Services Tax (GST) Formulas

GST Rates: 0%, 5%, 12%, 18%, 28%

Total GST Calculation:

Total GST = Taxable Value * Rate

Intra-State Supply (Within State):

CGST (Central GST) = Total GST / 2

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$\text{SGST (State GST)} = \text{Total GST} / 2$

$\text{IGST} = 0$

Inter-State Supply (Across States):

$\text{IGST (Integrated GST)} = \text{Total GST}$

$\text{CGST} = 0, \text{SGST} = 0$

Total Invoice Value:

$\text{Total Invoice Value} = \text{Taxable Value} + \text{Total GST}$

3. Tax Deducted at Source (TDS) Formulas

TDS Calculation:

$\text{TDS Amount} = \text{Gross Payment Amount} * \text{Section Rate}$

$\text{Net Payable} = \text{Gross Payment Amount} - \text{TDS Amount}$

Common TDS Sections and Rates:

Sec 194C (Contractors): 1% rate

- Single transaction threshold: 30,000

- Annual threshold: 1,00,000

Sec 194J (Professional/Technical Fees): 10% rate

- Annual threshold: 30,000

Sec 194I (Rent - Land/Building): 10% rate

- Annual threshold: 2,40,000

Sec 194I (Rent - Equipment): 2% rate

- Annual threshold: 2,40,000

Sec 194H (Commission or Brokerage): 5% rate

- Annual threshold: 20,000